Prediction markets in Q3 2026

Kalshi drove cash growth as Polymarket shifted toward the US

Kalshi's Q3 lead widened as trading shifted toward combinations. Polymarket's US venue grew rapidly, but its International business contracted enough to leave their combined cash turnover slightly lower. International collected more gross fees and distributed the entire increase back to participants. The quarter rewarded different businesses in different ways: exchanges competed for execution, quoting firms priced increasingly complex positions, and brokers gained more choice over where to send customer orders.

An exchange collects transaction fees. Market makers quote prices and bear inventory risk; rebates and rewards return part of exchange collections to participants. Brokers provide the account and trading interface, sometimes routing the order to another company's exchange. Cash turnover measures the value traded, including repeated use of the same capital. It measures neither new deposits nor company revenue.

Kalshi generated **$37.3B** of Q3 cash turnover, **+75.8%** above Q2 and **18.5x** its year-earlier level.

Polymarket's US venue reached **$6.1B**, **+116.2%** quarter over quarter. International fell **-30.1%** to **$8.14B**, although that remained **4.6x** Q3 2025. Its setback followed a much larger first half; it did not erase the preceding year's expansion.

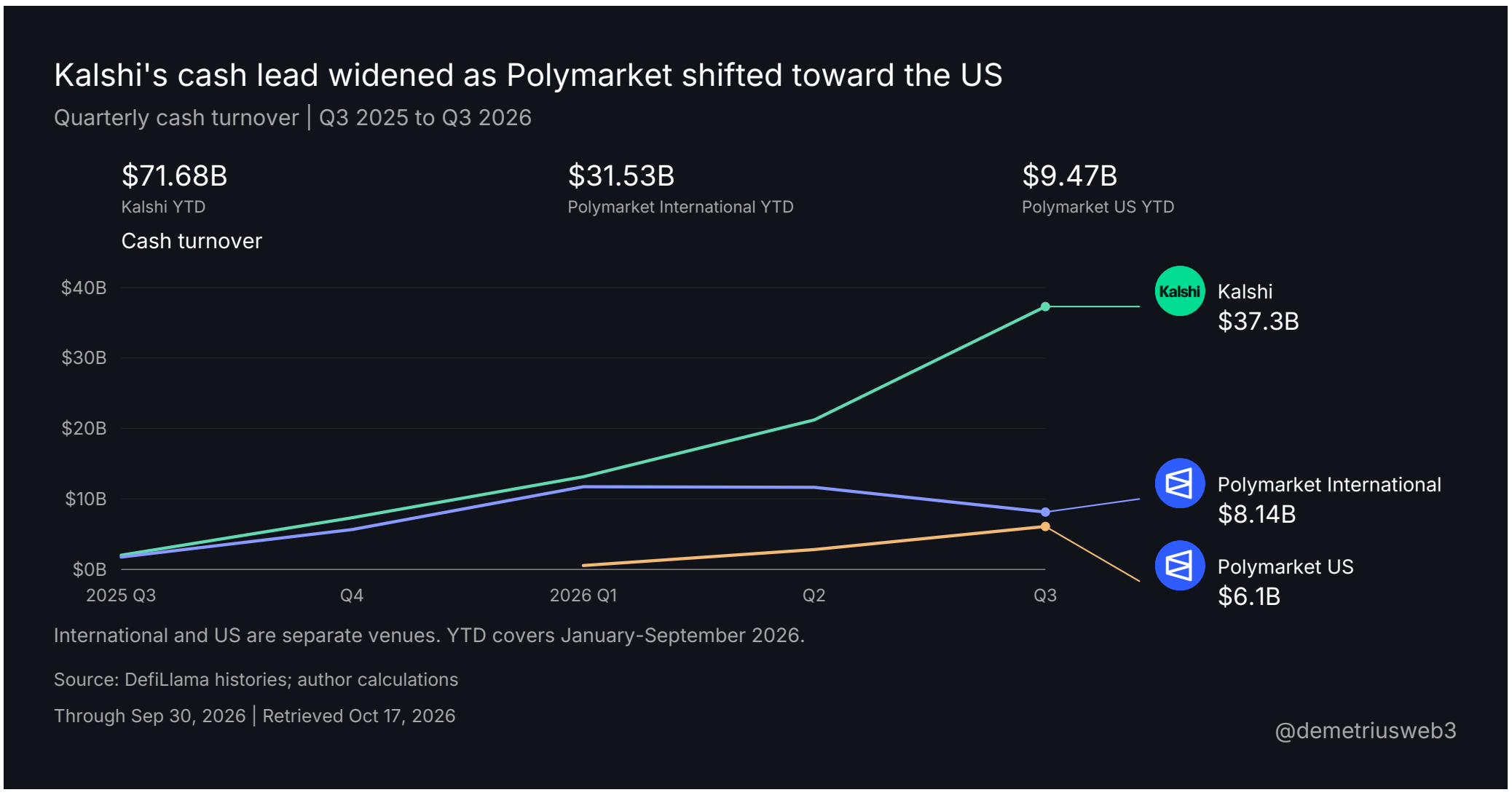


Exhibit 1. Five quarters of cash activity distinguish the latest growth rates from the scale already built.

Across these three venues, cash turnover rose **+44.4%** to **$51.54B**. Kalshi added **$16.08B**, slightly more than the entire **$15.85B** net increase. This fixed comparison measures where growth occurred; it is not an estimate of the whole industry's size or unique customer spending.

The monthly path sharpens the picture. Kalshi recovered from August to trade **$13.57B** in September. Its daily average reached **$452.3M**, **+14%** above July after adjusting for the shorter month. September cash at Polymarket US reached **$2.48B**, overtaking International's **$2.13B** for the first time in the January-September series.

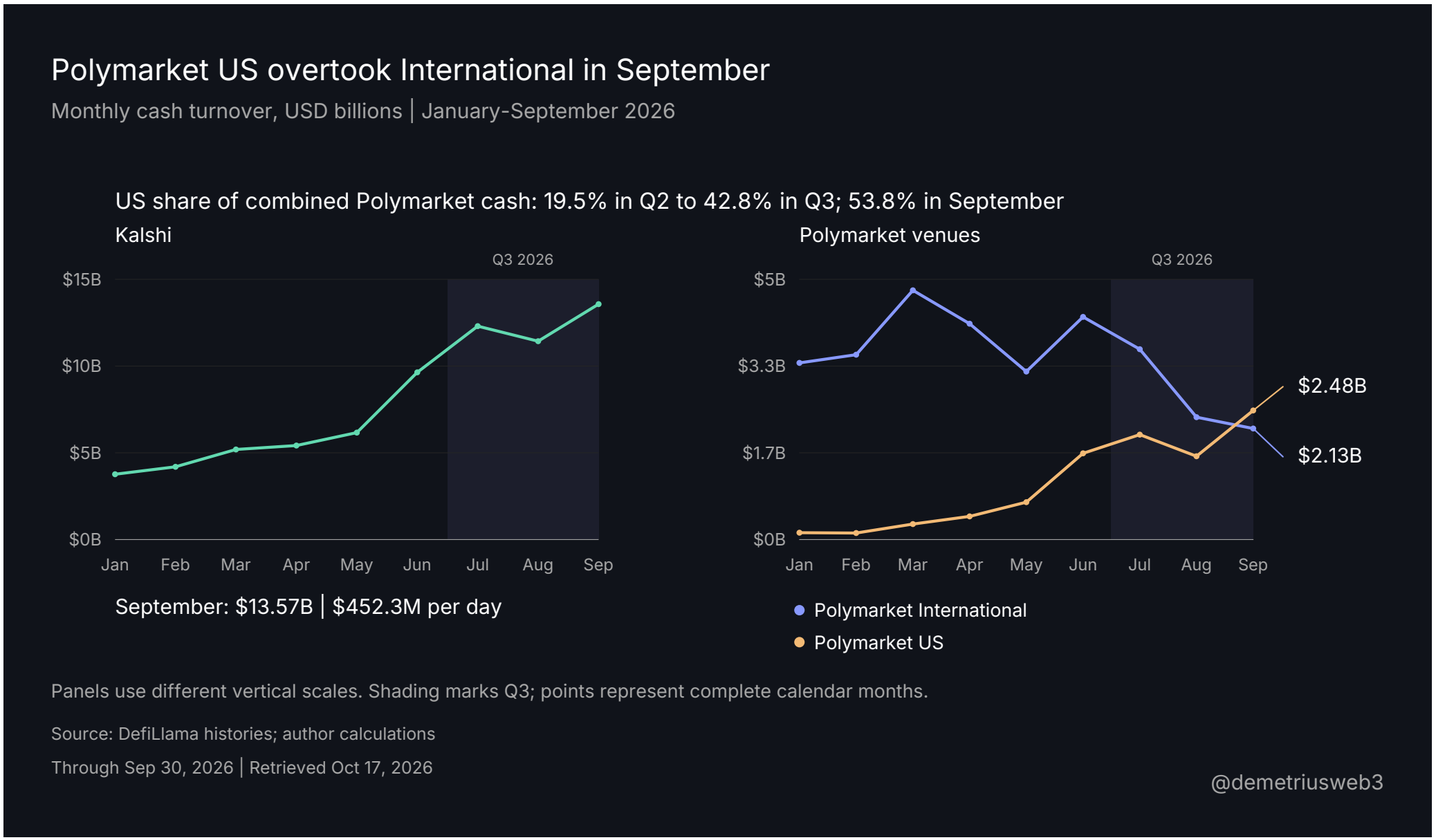


Exhibit 2. Monthly cash turnover reveals the US crossover that the quarterly totals conceal.

International and US together traded **$14.24B** in Q3, **-1.6%** from Q2. US share of their quarterly cash increased from **19.5%** to **42.8%**; its September share reached **53.8%**. The combined business had changed geography faster than it had grown. These flows establish the shift in activity; they do not identify customers moving between venues. Continued US growth alongside an International recovery would produce a stronger result than one business merely offsetting the other.

Combos drove 84.4% of Kalshi's late-quarter contract growth

The World Cup ended on July 19; the NFL opened on September 9. Between the weeks beginning July 20 and September 21, Kalshi's weekly contract turnover rose from **7.89B** to **15.76B**.

Exotics, its combo category, added **6.64B** contracts and accounted for **84.4%** of the increase. Standard Sports added **0.3B**, and Crypto **0.72B**.



Exhibit 3. Weekly product composition places the World Cup and NFL dates beside the categories that expanded.

Exotics accounted for **60.7%** of the final week's contracts, up from **37%**. Standard Sports was a separate category, so the calendar alone is an incomplete explanation. Much of the expansion came through positions that combine outcomes. Calendar alignment cannot isolate football demand from changes in product availability or incentives. Product-level cash activity and repeat use after major events would test whether this larger contract base supports a larger business.

Combinations also change who sets the customer's price. Kalshi uses requests for quotes for custom combos. A quoting firm prices the complete position and its joint outcome risk. Dependence between the legs matters: their combined probability need not equal the product of their separate probabilities. Competitive quoting therefore affects the customer's cost alongside the exchange's explicit fee.

Kalshi launched Pro on July 13, giving active traders multi-market workspaces and order-management tools on the same account and exchange. That was a distinct distribution strategy from buying sports audiences: retain traders who manage many positions and resting orders. The launch demonstrates investment in that workflow; its economic payoff depends on the trading those users sustain.

Contract growth also outran cash growth. Kalshi traded **+115.9%** more contracts, while cash rose **+75.8%**. Cash per contract fell from **32.3 cents** to **26.3 cents**. An arithmetic decomposition attributes **$22.32B** of cash growth to additional quantity, offset by **$6.23B** from the lower average cash value per contract.

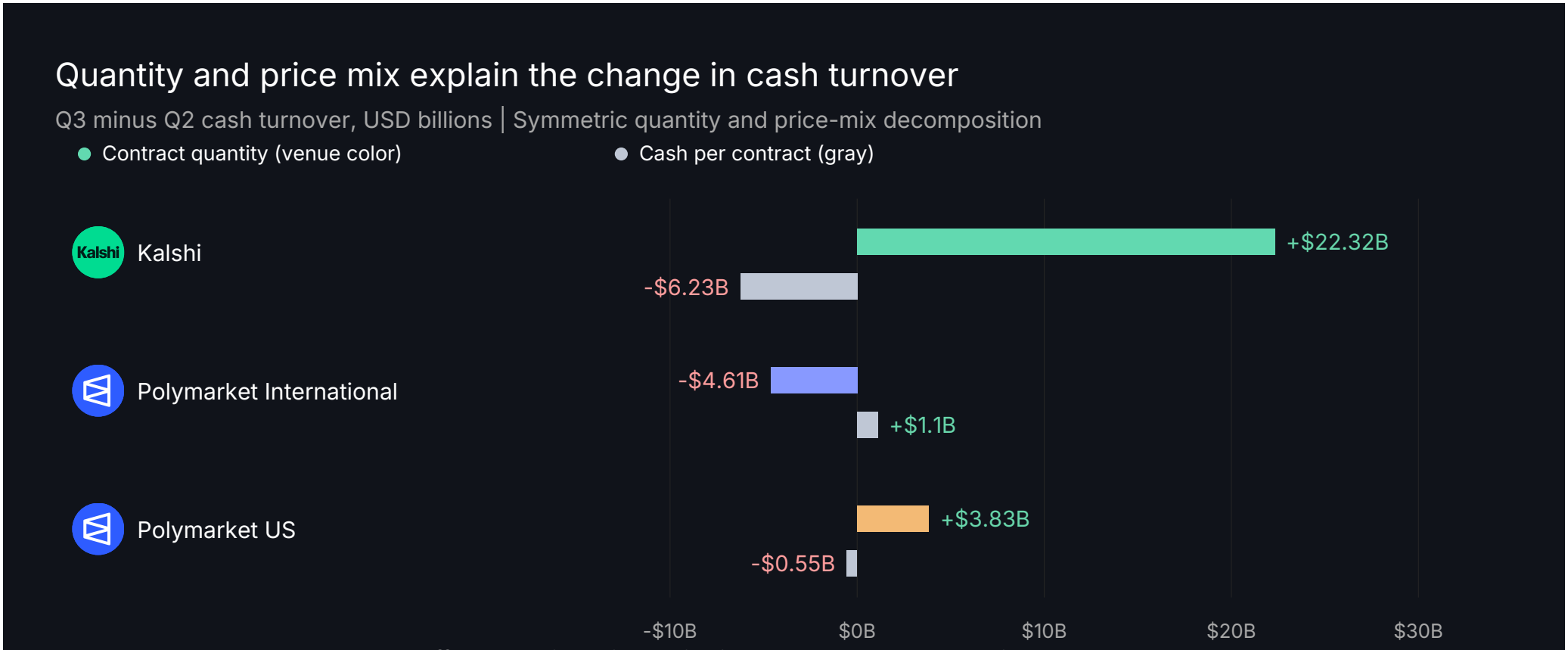


Exhibit 4. Quantity and average execution value contributed differently to each venue's cash change.

US quantity added **$3.83B**, with a **-$552.7M** price-mix offset. International lost **$4.61B** through quantity, partly offset by **$1.1B** from a higher cash value per contract. The decomposition isolates quantity from average execution value. Identifying customer acquisition or a causal combo effect requires a different test. Kalshi's leadership in cash growth survives the adjustment; contract counts alone exaggerate the pace of that growth.

Combos overtook standard positions at Polymarket US

The combo builder opened to US app users in August, after beta trading. Standard-contract open interest fell from **133.23M** contracts at June 30 to **76.28M** at July 31, then recovered to **118.81M** by September 30.

Combo OI increased from **14.26M** at August-end to **177.58M** at September-end.



Exhibit 5. Month-end positions separate standard-contract recovery from the new combo book.

Combos represented **59.9%** of September-end open interest. Total outstanding contracts more than doubled from June, while standard positions remained **-10.8%** below June. This was predominantly a change in the product book. Open interest counts outstanding contract units; it does not measure customer balances or dollars of capital committed. A recovery above June in standard OI would provide a different signal from another increase concentrated in combos.

Breadth improved within the standard book. Its ten largest instruments fell from **29.6%** of open interest in June to **9.2%** in September. Its effective instrument count, which weights larger positions more heavily, rose from approximately **68** to **430**.

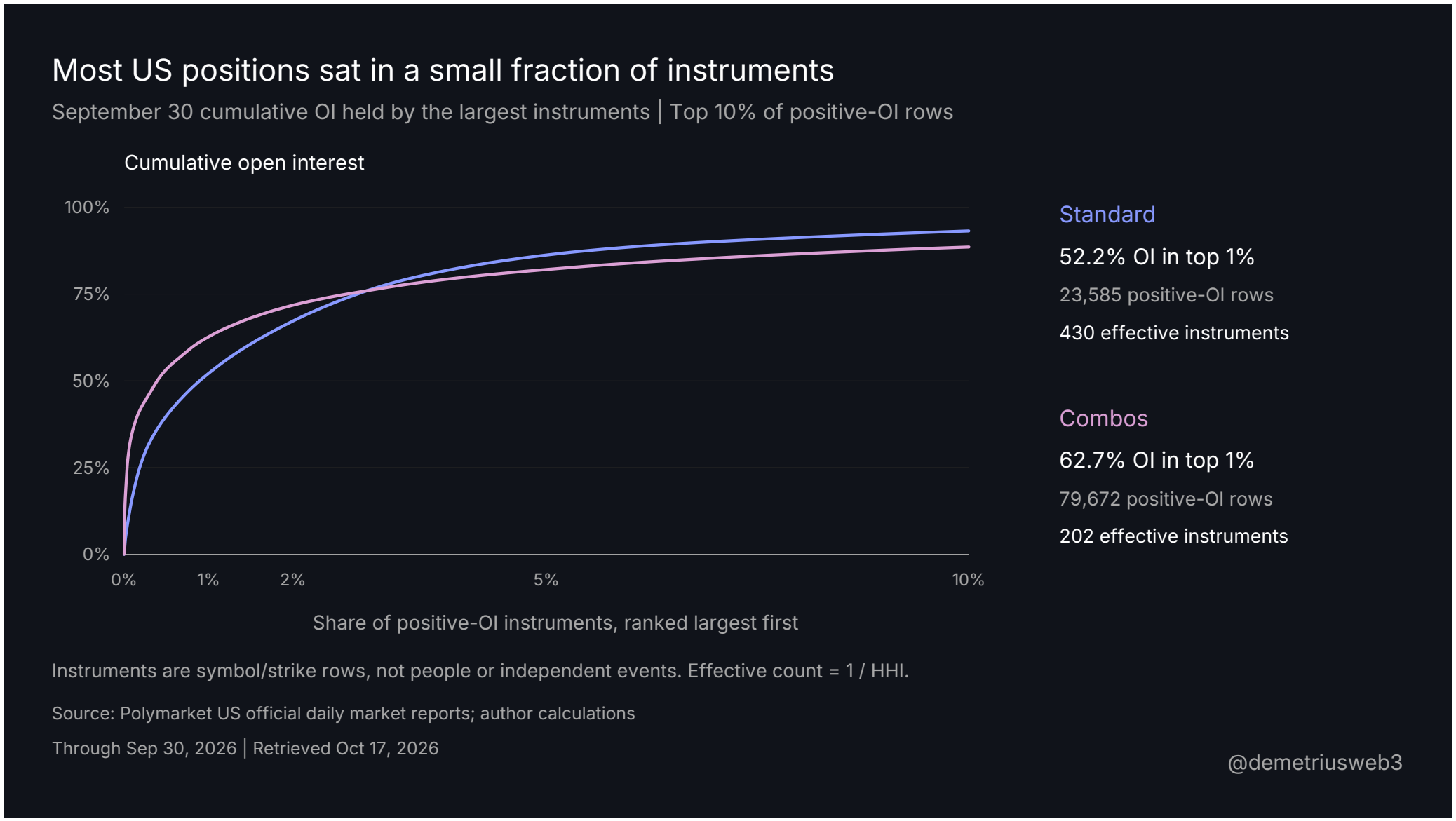


Exhibit 6. Concentration curves distinguish a large listing count from a broadly distributed position book.

At September-end, **23,585** standard instruments and **79,672** combo instruments carried positive OI. Their largest **1%** held **52.2%** and **62.7%** of positions, respectively. Combos had an effective count of about **202** despite having far more instruments. Standard exposure had spread more evenly; combo exposure remained concentrated. These are symbol/strike instruments, which can share underlying events. Neither the listing count nor its effective counterpart counts independent risks or customers.

The new book also carried new fee economics. A September 25 surcharge changed the US combo taker-fee curve. For **100 contracts** bought at **10 cents**, the **$10** execution value incurred approximately **$0.89** in gross fees. A standard trade under the same base coefficient cost **$0.63**, before customer rebates.

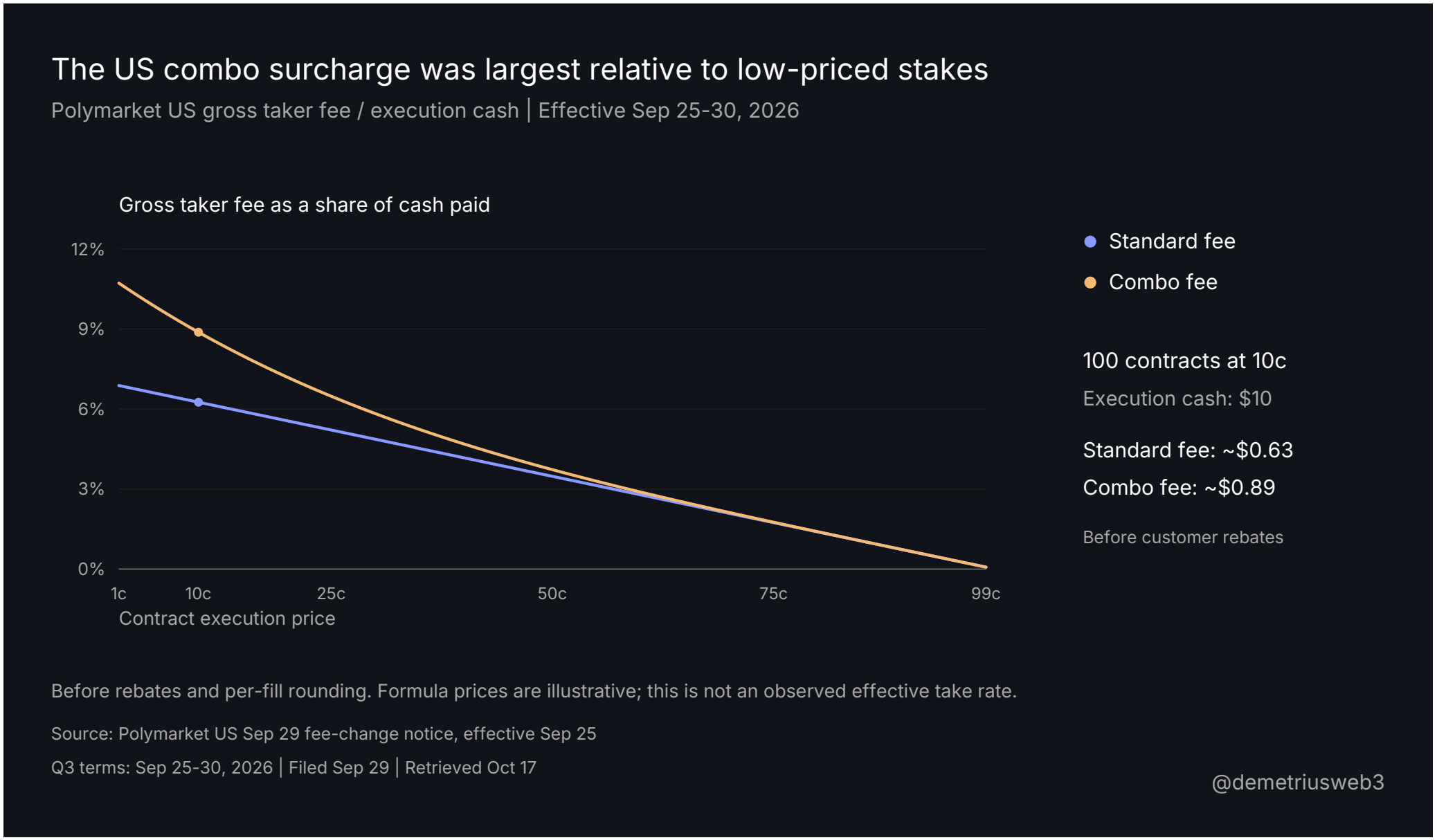


Exhibit 7. The late-quarter fee curve exposes the extra cost of low-priced combo exposure.

The surcharge was larger relative to the cash paid for low-priced positions. Consequently, a shift toward combos can change the exchange's collection per dollar even when the base fee coefficient stays constant. The curve describes the final six days of Q3; it cannot be applied to the whole quarter. Repeat trading after the change is the test of whether customers accept that cost.

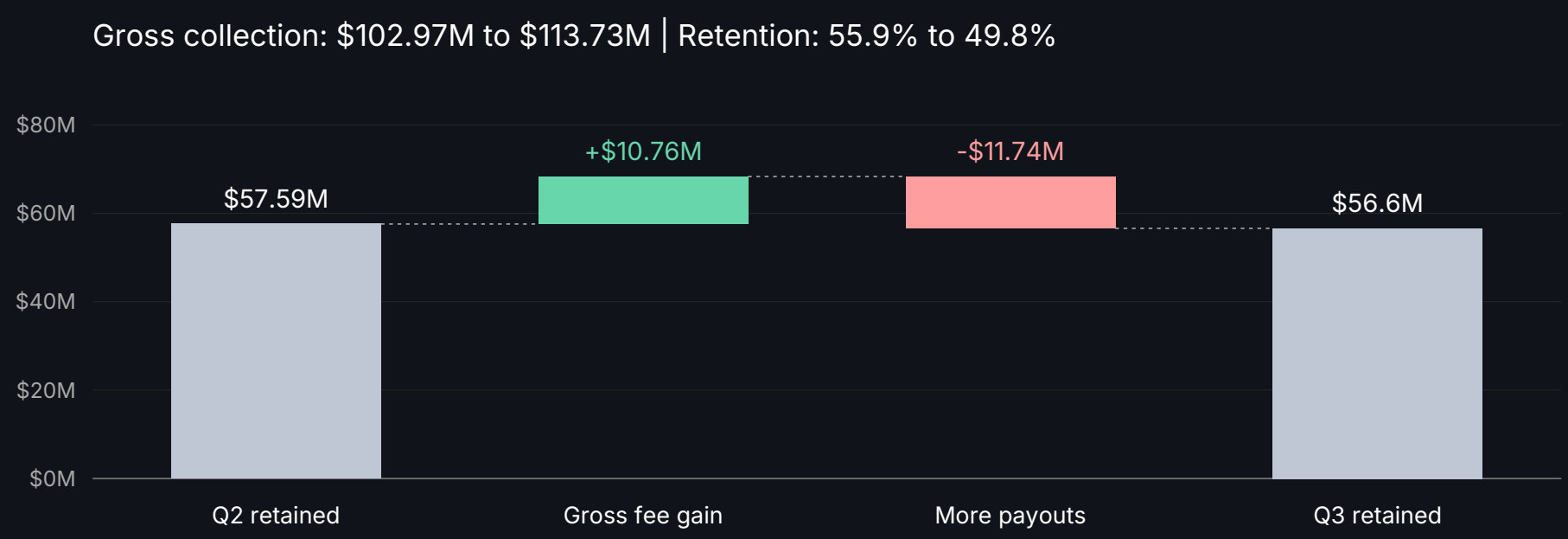
Polymarket International collected more fees but retained less

International's gross fees increased **+10.4%** to **$113.73M**, while cash turnover fell **-30.1%**. Gross collection per dollar traded rose from **0.88%** to **1.4%**. That effective yield combines fee terms with the composition of trades; it does not imply a uniform increase in the posted fee schedule.

Tracked customer distributions rose by **$11.74M**, exceeding the **$10.76M** increase in gross fees. International retained **$56.6M**, **-1.7%** from Q2. Retention fell from **55.9%** to **49.8%** of gross collections.

International fee growth was absorbed by higher customer payouts

Q2 to Q3 retained-fee bridge, USD millions | Gross fees less tracked distributions



Distributions include rebates, referrals, liquidity and holding rewards. Retained fees precede operating costs.

Source: DefiLlama histories; author calculations

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Exhibit 8. The fee bridge shows who received the quarter's additional gross collections.

The retained yield improved from **0.49%** to **0.7%** of cash turnover, cushioning the smaller trading base. At the Q3 cash base, each additional **0.1 percentage point** of retained yield would represent approximately **$8.14M** per quarter. Collecting more can change participant behavior, so the sensitivity holds only with turnover constant. Retained fees also precede operating costs. Recovering cash activity alongside retained fees above **$56.6M** would demonstrate stronger commercial momentum.

Trading relationships became more concentrated. Between March-May and June-August, the top **30** maker addresses increased their share of maker flow from **14.9%** to **21.7%**. The top **10** pair-arbitrage addresses increased their share of taker flow from **3.4%** to **8.4%**.

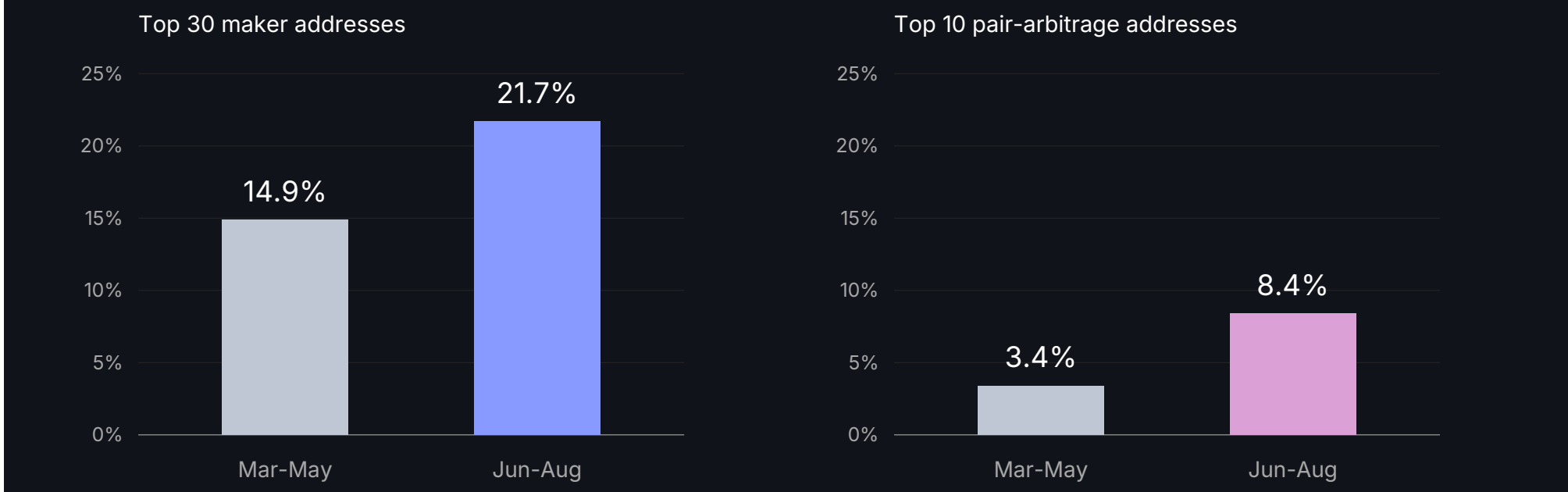


Exhibit 9. Concentration increased on both sides of the trade across the study's two observation windows.

Those participants accounted for more execution, but flow share is not a measure of quoted depth or spreads. Their importance to pricing would be better tested by fill quality when they reduce activity. The commercial tension is nevertheless clear: rewards that retain liquidity suppliers reduce the exchange's immediate share of fees, while cuts that weaken quoting can make trading more expensive for customers.

Kalshi's forecast study excludes the combos driving growth

A growing exchange can process more trades without producing better forecasts. Kalshi's August research analyzed historical resolved markets through mid-2026, excluding Exotics. At one day before resolution, the broad sample had a Brier score of **0.126**, versus **0.039** for a fixed cohort of **35,562** longer-dated markets. Lower scores mean smaller squared probability errors.

The comparison shows why composition matters to a forecasting claim as well as a growth claim. It does not measure Q3 improvement or validate the combos driving recent expansion. A defensible test holds the product population and forecast horizon constant, then scores probabilities against resolved outcomes and a category-specific base-rate forecast. More turnover cannot substitute for that test.

Execution reliability is another part of product quality. Polymarket reported prediction-order cancellation issues on September 3, from 11:41 to 12:11 UTC.

A September 19 prediction-trading incident lasted **42 minutes**, from 19:38 to 20:20 UTC; the operator attributed it to degraded Polygon block production. Both incidents affected International infrastructure. During a live event, a delayed fill or cancellation can change a trader's exposure before prices adjust. Reliability therefore belongs in the economics of attracting professional liquidity.

The US venue had its own September 5 technical incident and offered eligible customers company-funded credits covering principal plus trading fees on affected positions, in addition to settlement payments. Remediation can turn a systems failure into a direct exchange expense.

Polymarket led kickoff installs as brokers added venues

During NFL kickoff week, Polymarket attracted approximately **1.2M** mobile installs against Kalshi's **879K**. Kalshi's daily active users remained **-10.4%** below its own World Cup high. DraftKings and FanDuel exceeded their own tournament highs by **+8.5%** and **+66%**.

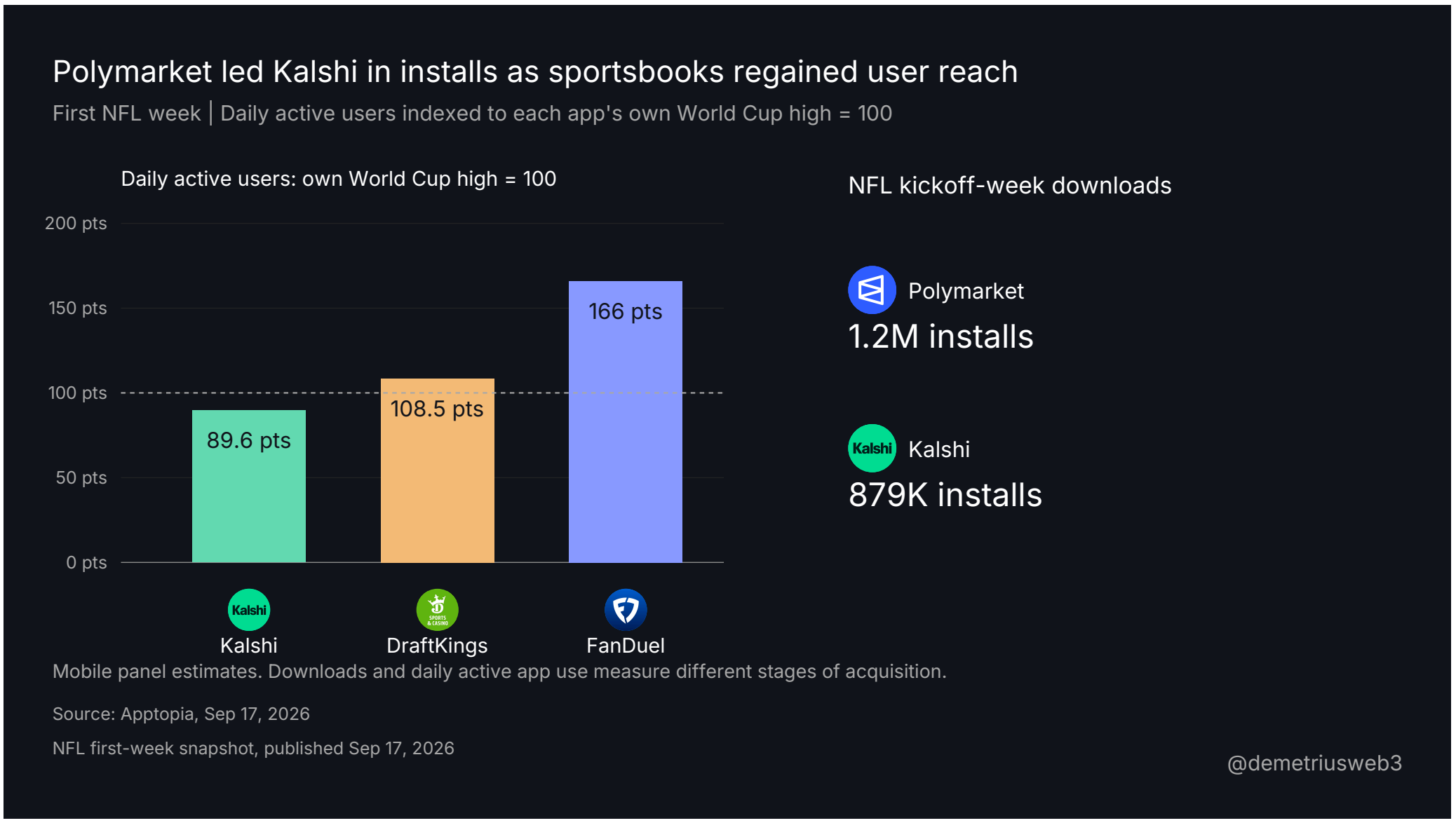


Exhibit 10. Acquisition and active use show different competitive outcomes at NFL kickoff.

Polymarket led this acquisition snapshot, while established sportsbooks regained seasonal reach. Each active-user index uses that app's own peak, so these percentages do not rank absolute audience size. Installs are also an earlier step than funded trading. The commercial test is whether those customers return and generate retained fees that cover acquisition costs; a large download week alone cannot establish that outcome.

Smaller on-chain venues exposed another difference between activity and monetization. Opinion traded **$1.12B**, **-1.5%** from Q2; Predict.fun traded **$854.75M**, **-37.6%**; Limitless traded **$124.17M**, **-76.4%**.

Cash contraction concealed very different fee businesses

Q3 2026 | Gross fees, tracked retained fees and cash turnover

Venue	Cash / QoQ	Gross fees	Retained fees	Retained / cash
Opinion	$1.12B -1.5%	$154K	$154K	0.014%
Predict.fun	$854.75M -37.6%	$15.01M	$3.7M	0.433%
Limitless	$124.17M -76.4%	$1.94M	$1.52M	1.221%

Gross and retained cash yields use matching venue volume. Opinion applies its own wallet blacklist.

Source: DefiLlama volume, fees and revenue adapters; author calculations

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Exhibit 11. Challenger economics compare activity with the fees retained from that activity.

Predict.fun generated **$15.01M** in gross fees and retained **$3.7M**, or **24.7%**. Limitless retained **$1.52M**, **78%** of gross fees. Opinion retained roughly **$154K**.

Their respective retained yields were **0.433%**, **1.221%**, and **0.014%** of cash turnover. Opinion had the largest trading base of the three, while Limitless retained almost ten times as many fee dollars from about one-ninth the turnover. Their fee businesses differ before operating costs or demand quality enter the comparison. The next test is whether each venue can sustain activity as its reward and fee terms change.

Brokers competed on an overlapping pool of trades. Robinhood disclosed **6.1B** event contracts for July, **4.7B** for August, and approximately **4.4B** for September 1 through 24.

That partial-quarter sum of approximately **15.2B** already exceeded the **13.6B** full-Q2 total. Q2 revenue of **$156M** provides a historical baseline of approximately **1.15 cents** per contract. Applying it to Q3 would assume unchanged pricing and trade mix.

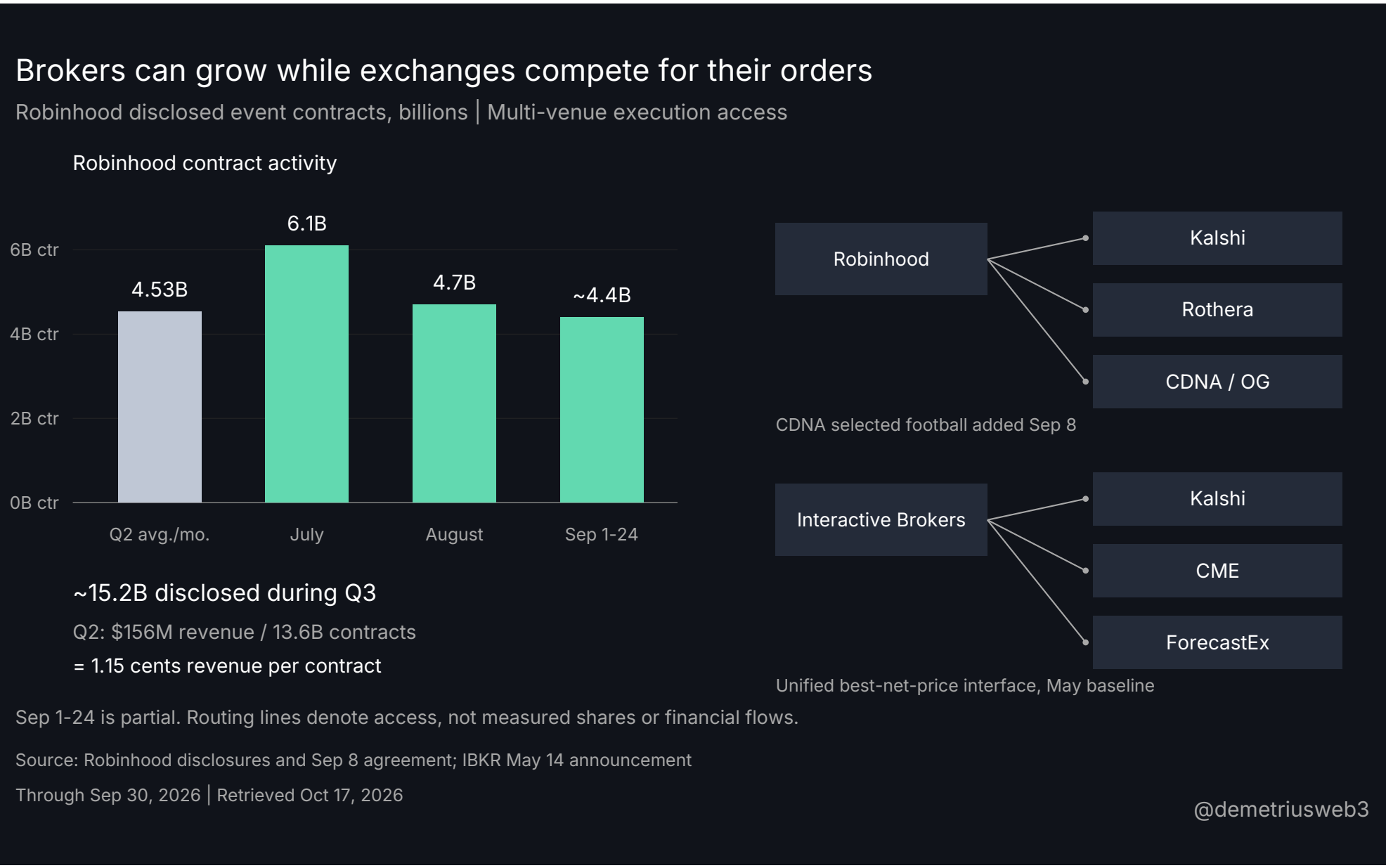


Exhibit 12. Robinhood's activity sits beside the execution choices available to multi-venue brokers.

Robinhood added selected football contracts through CDNA/OG on September 8. Interactive Brokers had added multi-venue execution in May, comparing net prices across Kalshi, CME, and ForecastEx. An exchange can acquire a customer through a broker and still compete for the next order. These access relationships do not establish actual routing shares, and broker volume cannot be added to exchange volume without double counting execution.

Large consumer operators pursued control of more of the relationship. Fanatics launched a unified app on September 2 with a shared account and loyalty balance across sportsbook, casino, and prediction products. DraftKings' earlier Railbird acquisition brought exchange infrastructure in-house; FanDuel's June CDNA agreement expanded its offering through a partner. Existing customer access and ownership of execution were distinct competitive assets.

Capital raised before Q3 helped frame this contest. Kalshi announced a **$1B** financing at a **$22B** valuation in May. ICE completed another **$600M** direct investment in Polymarket in March, following **$1B** in October 2025. This capital gave both companies resources for distribution and product investment before Q3 began. The amounts describe those transactions at their announcement dates.

Michigan halted new sports contracts at Robinhood

Polymarket's August ATP streaming rights and Yankees sponsorship bought access to sports audiences. Kalshi's Genius Sports agreement combined official data with media and integrity services. The value of those rights depends on subsequent trading and customer economics. Their announcement dates alone cannot explain a change in venue volume.

Q3 expanded products while access and integrity faced scrutiny

Selected Q3 events | Announcement dates and incident dates, as labeled

July-August

Jul 13	Kalshi Pro	Active-trader workstation enters public beta
Jul 19	World Cup final	Tournament ends; repeat use faces a new test
Jul 31	New York / Kalshi	State files suit seeking an injunction
Jul 31	CFTC / Santos	Manipulation charges settled; earlier conduct
Aug 3-6	Sports agreements	ATP, Genius Sports and Yankees announcements
Aug 7 / 12	CFTC guidance	Pricing displays and incentive-program filings
Aug 20	Polymarket US combos	Combo builder rolls out to app users
Aug 28	CFTC / Perez	Speech-information trading charges settled

September

Sep 2	Fanatics	Unified sportsbook, casino and markets app
Sep 8	Robinhood / CDNA	Selected football contracts gain another route
Sep 9	NFL kickoff	Regular season opens in Seattle
Sep 9	Michigan / Robinhood	New sports-contract access halted by agreement
Sep 11	CME advance notice	Scheduled additional-expiry halt; CFTC review
Sep 19	Polymarket International	Prediction-trading disruption: 42 minutes
Sep 22	CFTC mention markets	Guidance addresses manipulation-sensitive design
Sep 24 / 25	Access / US fees	NY suit; interim rulings; combo surcharge starts

Complaints are allegations; preliminary rulings are not final national judgments. Prior-quarter financing is excluded.

Source: Operators; CFTC; New York and Michigan regulators; Sixth Circuit

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Exhibit 13. The quarter's key dates connect product launches and sports demand with integrity and access decisions.

Legal access changed through several distinct actions. The July CFTC order required pending Michigan Kalshi trades to be fulfilled. New York sued Kalshi on July 31 and Polymarket US on September 24, seeking injunctions and monetary remedies. Those complaints alleged unlicensed gambling; filing them did not itself establish a final statewide ban.

Michigan's September Robinhood agreement halted new sports contracts and set an October 9 deadline to close existing positions. On September 25, the Sixth Circuit vacated Tennessee's preliminary injunction and affirmed Ohio's denial of preliminary protection. The appeals decisions changed preliminary protection while the broader jurisdictional contest continued.

CME's September notice scheduled a halt to additional sports and cultural expiries on Globex for September 11, pending CFTC review. Separately, August CFTC guidance addressed clear pricing displays and deficient incentive-program filings. As brokers and sports apps distribute event contracts, exchange compliance extends into the customer-facing interface and the terms used to attract activity.

Q3 brought enforcement against traders with control over an outcome or privileged knowledge of it. On July 31, the CFTC settled manipulation charges against George Santos over trading on his own State of the Union attendance. On August 28, it settled charges against Gabriel Perez for using nonpublic presidential speech information obtained through his government work. Both orders concerned conduct before Q3 and imposed disgorgement, penalties, and three-year trading bans. The September 22 mention-market advisory addressed contracts whose outcomes depend on an individual's conduct. A verifiable settlement source does not eliminate the risk that someone can influence the event or trade with privileged knowledge of it.

Conclusion

Kalshi's cash lead is established; durable economics require the larger combo business to sustain cash activity and competitive execution. September's **$452.3M** daily cash average is a cleaner starting point than an annualized contract record. Polymarket US ended the quarter above International in monthly cash, but its larger combo book should be assessed separately from standard-contract recovery.

International's benchmark is **$56.6M** of quarterly retained fees on **$8.14B** of cash turnover. Recovering activity while preserving retained yield would strengthen the business more clearly than raising collection ratios against a shrinking base. For brokers, the question is how much revenue each routed contract earns after customer incentives and venue costs, rather than the number of exchanges offered in the app.

The quarter established scale and product expansion. It also made the economic test harder: customers must keep trading after major events, liquidity suppliers must remain competitive, and exchanges must retain enough fees to pay for distribution and reliable execution. Q4 should be judged by progress on those tests, with forecast quality evaluated on comparable resolved markets rather than inferred from volume.

Sources

- Cash and contract histories: Kalshi; Polymarket International; Polymarket US. Weekly Kalshi categories use exchange market reports; operator category definitions identify Exotics as combos.
- US position reports: June 30; July 31; August 31; September 30.
- International gross fees; retained fees; distributions. Opinion, Predict.fun, and Limitless matching definitions accompany the exhibit data.
- Wallet cohort study, September 22; mobile competition, September 17; historical forecast study, August, section 4.1. Cancellation incident, September 3; prediction-trading disruption, September 19.
- Robinhood Q2 results; August data; September 1-24 disclosure. Prior-quarter financing: Kalshi Series F, May 7; ICE investment, March 27.

Commercial and legal records are linked in the dated event register. Source definitions and reproducible calculations accompany the exhibit CSVs in the evidence package.

Sources: dated events

- July 13: Kalshi Pro beta. Kalshi.
- July 14: Michigan trade-settlement order. CFTC.
- July 19: World Cup final. FIFA.
- July 31: New York Kalshi complaint; Santos settlement. New York Attorney General; CFTC.
- August 3-6: ATP rights; Genius Sports agreement; Yankees sponsorship. Polymarket / PR Newswire; Genius Sports; Polymarket / PR Newswire.
- August 7 and 12: Pricing and incentive-filing guidance. CFTC; CFTC.
- August 20: US combo app rollout. InGame / Daniel O'Boyle.
- August 28: Perez settlement. CFTC.
- September 2: Fanatics app integration. Fanatics.
- September 3 and 5: International cancellation incident; US incident and account credits. Polymarket Status; Polymarket US.
- September 8-9: CDNA routing; NFL kickoff; Michigan Robinhood agreement. Robinhood; NFL; Michigan Gaming Control Board.
- September 11: Scheduled expiry halt in CME advance notice. CME Group.
- September 19: International prediction-trading disruption. Polymarket Status.
- September 22: Mention-market guidance. CFTC.
- September 24-25: New York US complaint; Sixth Circuit preliminary-relief decisions. New York Attorney General; Sixth Circuit / govinfo.
- September 25: US combo-fee surcharge effective; September 29 filing. Polymarket US.